

- Module: Corporate Finance & Equity Valuation

School of Economics

University of Cape Town

Dividend Policy and Share Buy-backs

Objectives

1. Contrast the active variable and passive residual approaches to managing dividends and their effect on Firm value.
2. Explain the effect of payments on the dividend growth model
3. Calculate the dividend by applying the residual approach
4. Identify factors affecting the dividend decision
5. Identify alternative dividend payout policies
6. List important dates in the declaration and payment of dividends
7. Explain alternative methods of making distributions to shareholders
8. Describe why share buybacks occur as an alternative to dividends

Definitions

▪ Dividends: Journal Entry

- *Dr Dividends*
- *Cr shareholder for dividends*
Dividend declared

- *Dr Retained earnings*
- *Cr Dividends*
Closed off to retained earnings

- Dr shareholder for dividends
- Cr Bank

Dividend paid

Definitions

- **Dividend Payout Ratio**

- $[DPS/EPS] \times 100$

- **Dividend Cover**

- EPS/DPS

- **Dividend policies**

- *Represents the strategy a company follows in paying dividends.*

1. Are dividends relevant to the value of the company

Three distinct yet connected Decisions affect the Sustainable Growth Rate (*SGR*) and hence the Value of the firm.

They are the :

- *Investment decision (TAT)*
- *Financing decision (EM)*
- *Distribution decision - Dividend decision*
- *SGR = ROE X Retention rate that is (EPS – DPS) / EPS X 100*

SGR = NPM x TAT x EM x Retention rate, thus retention ratio is also calculated as (1-payout ratio) or [1- (DPS/EPS)]

1.1 What do we mean by value

(Ordinary shares (class A) & the Dividend discount model)

- Share price today = $P_0 = D_1 / (k - g)$
- Is it possible to increase the value by increasing the current dividend?
 - *Dividend reduces retained earnings*
 - *Deprives firm of equity for profitable new investments – reduces growth (g)*
 - *If growth (g) decreases – share price falls*
 - *Therefore: management has to find a balance between current dividends & future growth to maximize shareholder value*

The Dividend Decision

- Does the Dividend Decision, along with the Investment & Financing decisions affect the value of the company?

OR

- Is the Dividend merely a consequence of the other two decisions: *Investing and Financing*?

- **Note:**

The Dividend decision affects Capital Structure as it is a reduction of Equity (Retained earnings)

Dividend Relevance

- Is the dividend:

1. An Active variable **OR**
2. A Passive residual?

- **There are two schools of thought:**

- *A dividend has no affect on the value of a company -
dividends are IRRELEVANT.*

- *Alternatively, A dividend effects the value of a company –
dividends are RELEVANT and must be actively managed.*

1.2 The “*Dividend irrelevance theory*”

■ 1.2.1 Residual theory of dividends

- Payment of dividend reduces the growth potential of a company.
- *What will this do to future dividends?*
- When should a company pay dividends?
- When they **have no further profitable investments, that is, no better use of available cash resources.**
- Thus, a dividend can only be assessed **once the investment and financing policies have been established.**
- This view manifests itself in the Residual approach to dividends

1.2 The “*Dividend irrelevance theory*”

■ 1.2.2 Financing dividend payouts with new share issue

- Insufficient retained earnings, it may pay out a dividend reducing equity
- Replacing the equity with new issue of shares and financing the dividend payment with cash proceeds from the new issue
- This allows the company to maintain the capital structure. This results in the dilution of the existing shareholders.
- The decrease in the market value of the of the shares will be exactly equal to the amount of the dividend paid.
- Thus, the increase in the shareholders' wealth from receiving the cash dividend will be offset by the decrease in the market value of the shares
- Meaning, the shareholder is in the same position as to when a dividend is paid or not.
- Thus, a shareholder can either receive a dividend and decrease the value of his/her investment or receive no dividend but maintain the value of the capital.

1.2.3 The “M&M” theory of dividend irrelevance

- M&M argument assumes that, given certain assumptions, the dividend policy has no effect on the value of the firm- it's a passive variable.
- ❖ M&M argue that the value of the firm is determined by the future earnings power and the riskiness of its investments.
- ❖ Investors do not care about the firm's dividend policy, as they can create their own.
 - For example, if an investor thinks dividends are too high--- investor can use excess cash to buy more shares
 - And if an investor thinks that dividends are too low --- the investor can sell some of the shares and get cash flow
- ❖ If a dividend is declared and paid, **the firm will have to raise the finance by issuing new shares amounting to the value of the dividend.**
- ❖ Thus, **more shares will be in issue for the same assets.**
- ❖ With that, The **shareholder will be in the same position** as:
- ❖ **Gain from dividend = loss from dilution,**
- ❖ Hence, dividends do not affect the share price or cost of equity

The Miller & Modigliani Argument

- The M-M theory only holds with
 - *No Taxes,*
 - *No brokerage costs &*
 - *Infinitely divisible shares*
- If tax is taken into account, Dividend Policy is relevant as dividends taxed at different rates (*Dividend Withholding Tax at 20%, and the Capital Gains Tax (CGT)*)

The Miller & Modigliani Argument

- M & M states that the investors' Required Rate of Return and the Value of the firm is unaffected by Dividend policy for the following three (3) reasons:
 - *The firm's value is determined by its Future Earnings and the Risk of its Operational assets.*
 - *If dividends do affect VALUE they do so solely because of their **Informational Content (Signalling)** which signals management's expectations about Future Earnings.*
 - *A **Clientele Effect** exists that causes a firm's shareholders to receive the dividends they expect.*

1.4 Implications of the theories *(Residual Approach)*

- The Residual Approach suggests that dividends are a Passive variable:

➤ *Dividends = “What is left over after **Financing and Investment decisions** have been made”*

To adopt the Residual approach a company should identify:

- 1. Its set of Investment Opportunities*
- 2. It's Required Rate of Return*
- 3. And it's Target Debt ratio*

- A company should accept all Projects exceeding its Required Rate of Return (*Cost of Capital*)
- Any remaining funds should be paid as a dividend.

The residual approach: example 1

ABC Company expects after-tax earnings of R800 000 next year. The company strives to maintain a **Debt-Equity ratio of 1:1**. ABC cost of capital is 20%, and it is considering the following possible projects:

A	Cost = R 200 000	IRR = 28%
B	Cost = R 270 000	IRR = 27%
C	Cost = R 440 000	IRR = 22%
D	Cost = R 350 000	IRR = 19%

- The company applies the Residual approach to dividends.

REQUIRED 1:

Calculate how much would be available (*in Rands*) for distribution to shareholders as a dividend?

Example 1: The Residual Approach:

Solution:

- Which projects would you accept, seeing that WACC = 20%?

A	Cost = R 200 000	IRR = 28%	Accept
B	Cost = R 270 000	IRR = 27%	Accept
C	Cost = R 440 000	IRR = 22%	Accept
D	Cost = R 350 000	IRR = 19%	Reject

- Total Cost of accepted projects: = (R200 000 + 270 000 + 440 000) = R910 000

- NB: Funded by? **Debt : Equity = 1**

➤ *Financed by Debt = R455 000 & Equity = R455 000*

Earnings = R800 000

Less: Equity required for projects (R455 000)

Dividends **R345 000**

Example 1: The Residual Approach

REQUIRED 2:

Calculate how much would be available (*in Rands*) for distribution to shareholders as a dividend if Annual earnings had been **R350 000**?

Solution:

- Total cost of acceptable projects = R 910 000
- Still require R455 000 from equity
- But Earnings = R 350 000
- Therefore: No dividend

- New share issue = R455 000 – R 350 000
 = R 105 000

1.3 Dividend relevance

The following are key arguments in favour of dividend relevance:

- ❖ Gordon growth model
- ❖ The argument of the “bird in hand theory”
- ❖ The impact of relaxing the assumptions of the M&M theory
- ❖ The signalling effect and Lintner’s theory
- ❖ The clientele effect
- ❖ The agency effect

1.3 Dividend relevance

1.3.1 Gordon growth model

Dividends affect firm value positively- $P_0 = [D_1 / (k_e - g)]$

Direct relationship between the firm's dividend policy and its market value and should therefore be actively managed.

An increased expected dividend (D_1) = an increase in the value of the firm through P_0

- As further profits are expected in the future
- A current dividend paid (cash) is more valuable and less risky than uncertain future capital gains- more risks and uncertainty in the future.
- When a Dividend is paid- cost of equity decreases- discounting earnings at a lower rate- hence, a higher firm value

2. Factors affecting the dividend decision

- **Some of the other factors affecting the Dividend Decision are:**

- *Legal constraints (Companies Act No. 71 of 2008)*
- *Contractual constraints*
- *Internal constraints*
- *Future growth prospects*
- *Owner considerations*
- *Clientelle effect*
- *Informational content or signaling effect*

2.1 Legal Constraints

(Companies Act No. 71 of 2008 requirements)

- Dividends can be paid from Current & Past earnings;
- Funds from SOCI into Capital Redemption Reserve Fund is not available for distribution;
- Company should be Liquidity (*able to pay debts in the normal course of operations*) & Solvency (*assets Fairly Valued greater than liabilities*) after payment of dividends;
- Realised and unrealised profits (*e.g. Revaluation reserves of assets not yet sold*) can be distributed;
 - *BUT unrealised profits may only be distributed in certain circumstances*
- Dividends may not be paid out of contributed share capital;
- Dividend may also be distributed in Specie – i.e. in another form but not Cash, i.e. None cash asset

2.2 Contractual constraints

- Restrictive provisions in loan agreements;
- Venture capitalists and Private equity – impose restrictions (*conditions*);
- Objective - To protect Lenders / Creditors against potential future losses;
- Dividend payable only if the earnings or share price reach a certain level.

2.3 Internal constraints

- High Accrual Profits but conversion to Cash is low;
- Refer to ***“Quality of Earnings”*** Financial Ratio

<u>Cash generated by operations (CFS)</u>	<u>Net cash generated by operating activities before dividends (CFS)</u>
Profit before interest and tax (SOI)	Net profit after tax (SOI)
= x %	= X %

2.4 Future Growth Prospects

- Finance requirements are linked to its Expansion plans;
- During growth stages firms' need all its available finance (*small dividends*);
- Mature and established firms require very little finance (*large retained earnings balance*)

2.5 Owner considerations

Tax status of owner

- Shareholders in highest tax bracket might want to delay the payment of dividends;
- Delay to Capital Gains Tax (*CGT = Proceeds less Base cost*);
- Dividends, means that the COMPANIES previously had to pay Secondary Tax on Companies (*STC*) at 10% (*previously 25 % in 1995*);
- *STC* was replaced by Dividends Withholding Holding Tax (*DWT*) at 15 % now 20 %;
- Capital gains are taxed for the INVESTOR;
 - *Capital gains = Selling price – Base costs*
 - *Annual exclusion for individuals: R2m for primary residence and R40 000*
 - *Inclusion rates: Individuals at 40 % and Companies at 80 % of capital gains*
 - *Maximum Effective Rates = [Capital gains x **inclusion rate**] x **marginal tax rate***
*= [**capital gains x 40%**] x 45% = 18%*
- What is better – to Re-invest (*CGT*) in company or pay Dividends (*DWT*)?
- Dividend Re-Investment plans (*DRIP*) shares issued at below current market price

2.5 Owner considerations

Investment opportunities

- Shareholders investment opportunities influence distribution of profits

Dilution of ownership

- High percentage of earnings is paid out as a dividend distribution of profits;
- If the firm wants to grow - New capital raised from issue of shares resulting in a Dilution of Ownership and Control

2.6 Clientele Effect (*The Nature of the Shareholders*)

- Shareholders are attracted to companies that satisfy their investment needs regarding the balance between Cash income & Capital growth. ***This is known as the “Clientele effect”***
- Shareholders who require constant **income** will invest in companies with **higher Dividend yields** *i.e. Pension funds, Asset managers, Banks, Pensioners, Widows & Orphans*
- Shareholders who require **growth** and prefer greater capital gains will invest in companies with a low dividend yield **but high growth**
i.e. Young professionals, Asset managers, Speculators
- *Management may change its Dividend policy depending on investment opportunities in the future.*
- *This may result in a change in the profile of its shareholders. **Making dividend policy irrelevant.***

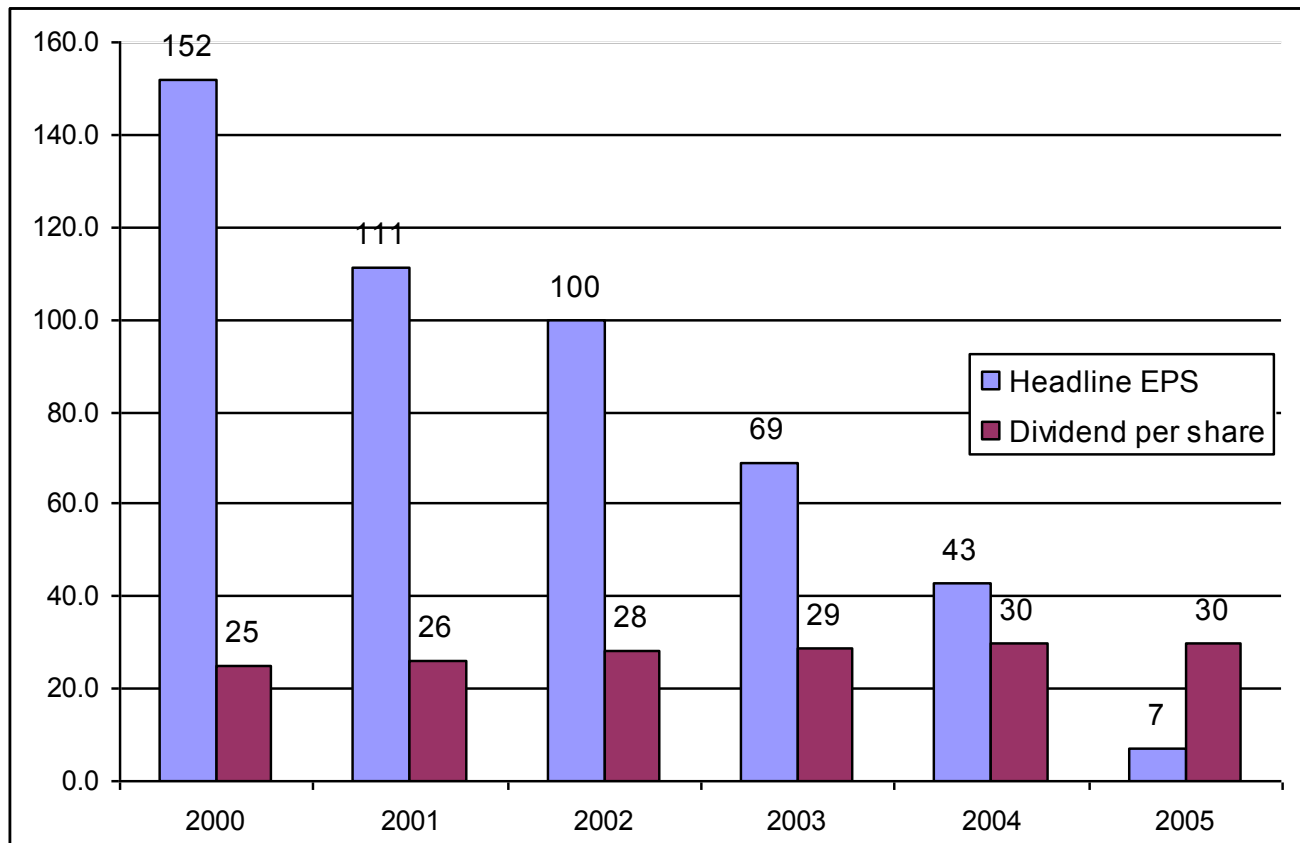
2.6 Clientele Effect

- **Investors are NOT able to swap out of shares as easily, due to:**
 - *Transaction costs (around 1.5 % to 2.2 %);*
 - *Gains may be classified as Trading income – included in Taxable income for tax purposes and attracts a higher tax charge;*
 - *Loss of control;*
 - *If dividends are paid - Flotation costs (issue costs) increases cost of new issues for the company; (see Cost of Capital)*
 - *It is cheaper for a company to Retain earnings rather than pay dividends and issue new shares*

2.7 Information content of dividends or Signalling effect of dividends

- Dividends **signal** the Current and Future Financial well-being of the company.
- Management's confidence about **Future earnings** are reflected in the dividend payment
- An **increase** in dividends is a **signal** that Earnings & Dividends are **Sustainable in the future!!!**
- Companies will NOT reduce dividends unless this is absolutely necessary
- And if they do reduce dividends....Management wishes to signal that any reduction in earnings is **temporary**
 - *(22 February 2019 Woolworths cut dividend to finance growth plans)*
- It is common financial practice for companies in Growth phase to fund Growth through Retained Earnings and not pay out dividends.

SAPPI – Resistance to a **DIVIDEND CUT**



3. Dividend Pay-out Policies

The conflict for managers who have to Maximize value for the business and keep shareholders satisfied is reduced by **SETTING A DIVIDEND POLICY.**

1. **Stable dividend** – *Fixed rand amount of Dividend regardless of Earnings for current year*
2. **Stable payout ratio (Stable dividend cover)** – *fixed portion (%) of earnings remains the same.*
3. **A Stable dividend plus Special / Bonus.**
 - *When is this appropriate?*
 - *Special transactions – Discontinued operations, Sale of assets, Sale of part of business (Non recurring transactions)*

Real World

Stable Payout ratio (*Retention ratio*) – Pick n Pay

	1999	2000	2001	2002	2003	2004	2005	2006
HEPS	36.6c	50.1c	61.4c	71.6c	94.5c	108.7c	130.7c	153c
DPS	36.6c	34.8c	42.9c	51.8c	69c	80c	96.5c	113.8c
Dividend cover	1.3 T	1.4 T	1.4 T	1.4 T	1.4 T	1.4 T	1.4 T	1.3 T
D – Payout ratio	75%	69%	69%	72%	73%	73%	73%	74%
	2009	2010	2011	2012	2013	2014	2015	2016
HEPS	233.86c	236.33c	189.35c	160.78c	111.5c	138.51c	177.26c	224.04c
DPS	170c	174.50c	142.50c	130.85c	84c	92.30c	118.10c	149.40c
Dividend cover	1.37 T	1.35 T	1.328 T	1.228 T	1.32 T	1.5 T	1.5 T	1.49 T
D – Payout ratio	72.6%	73.8%	75.2%	81.3%	75.33%	66.6%	66.6%	66.6%

Shoprite	2006	2007	2008	2009	2010
EPS	151.6	201.6	309.9	401.1	455.4
DPS	73.0	101.0	155.0	200.0	227.0
Dividend cover	2.08	2.00	2.00	2.01	2.01
Dividend payout ratio	48%	50%	50%	50%	50%

From the real world...

Stable Payout ratio – Shoprite

Shoprite	2006	2007	2008	2009	2010
EPS	151.6	201.6	309.9	401.1	455.4
DPS	73.0	101.0	155.0	200.0	227.0
Dividend cover	2.08	2.00	2.00	2.01	2.01
Dividend payout ratio	48%	50%	50%	50%	50%

- Special dividend (*Bonus dividend*)

- Woolworths

- 2009 – R750 million as a result of its sale of 50% (plus one share) its financial division to Absa

Example 2 *(Correia et al 16.11)*

The following are extracts from the annual financial statements of:

Fos Ltd					Ed Ltd		
	EPS (c)	DPS (c)	Price range (R)		EPS (c)	DPS (c)	Price range (R)
20.5	1684	812	260 - 170		940	515	91 – 74.75
20.4	1911	812	182 - 130		890	500	133 - 80
20.3	1823	770	152 - 130		1154	623	130 – 75
20.2	1783	673	110 - 75		1549	623	120 - 79
20.1	1782	657	100 - 64		1480	570	90 – 66.50

Example 2 (Correia et al 16.11)

Solution

1. Dividend pay-out ratio (DPS / EPS)

	Fos Ltd		Ed Ltd
20.5	48.2%		54.8%
20.4	42.5%		56.2%
20.3	42.2%		54.0%
20.2	37.7%		40.2%
20.1	36.9%		38.5%

Example 2 (Correia et al 16.11)

Solution

2. Growth in earnings

	Fos Ltd			Ed Ltd	
	EPS	DPS		EPS	DPS
20.5	-11.9%	0.0%			3.0%
20.4	4.8%	5.5%			-19.7%
20.3	2.2%	14.4%			0.0%
20.2	0.1%	2.4%			9.3%
Average	-1.2%	5.6%		-9.5%	-1.9%

Example 2 *(Correia et al 16.11)*

3.

Although, the policies themselves appear to be **Fairly Similar**, the major difference is in the **Proportion of earnings being paid out**, with Fos retaining a greater proportion of its earnings.

4.

- This question can only be answered with a **THOROUGH analysis of both companies & more information**
- It is intended as a **starting point** for discussion about the **impact of dividend policy on the share price**.
- In this case it is clear that the Share price is not directly related to the Dividend.
- Whilst Fos dividend has outgrown that of Ed, this is nowhere near the extent to which the share price of Fos has outperformed Ed.

4. How are dividends paid out?

4.1 Types of dividends

- Regular Cash dividends – *Normal dividend*
- Extra dividends (*Participating*) – *Paid after normal dividend*
- Special dividends – *One time dividend*
- Liquidating dividend – *liquidation of firm ($A < L$)*
- Bonus issues – *free shares (Capitalisation award) – Book value per share changes*
- Share splits – *more shares issued 1 for every x no. shares held, to make share more affordable, liquid & marketable – no effect on Annual financial statements, Book value per share changes.*
- Dividend re-investment plans – *options to receive cash or shares (known as scrip dividends)*
- Share buybacks – *firm buys back its own shares*
- Dividends in kind (*in specie*) – *asset given as dividend*

4. Payment of Dividends

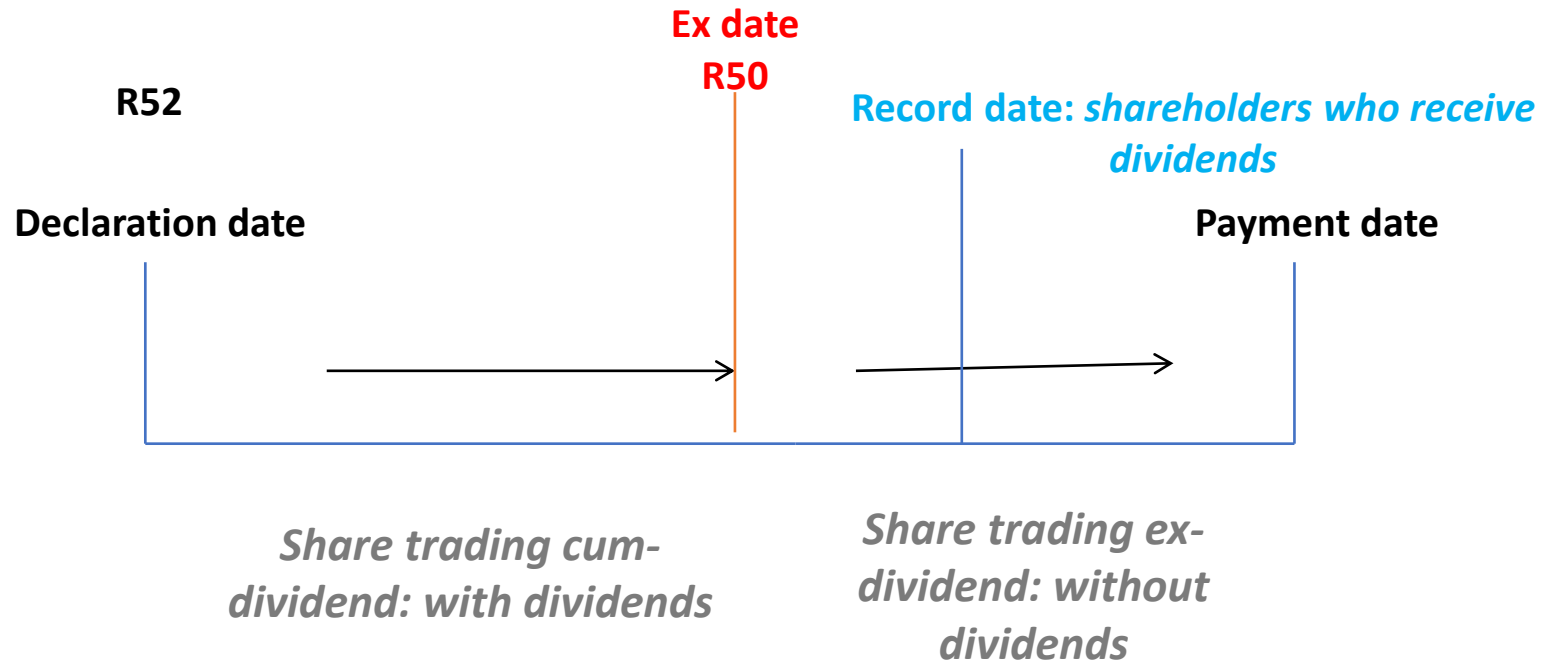
4.2 Dividend dates

The Dates associated with the payment of dividends are the:

- **Declaration date**
- **Last day for to trade (*LDR*)**
- **Ex-Dividend date** – *shareholders who purchase on or after the ex-dividend date **will not** receive the dividend.* Share price will normally fall after last day for trade(LDR).
- **Record date:** *date on which share register is finalised to determine who receives the dividend*
- **Payment date**

Payment of Dividend

Assume the share price remains constant at R50 excluding the dividend of R2 declared.



Payment of Dividend

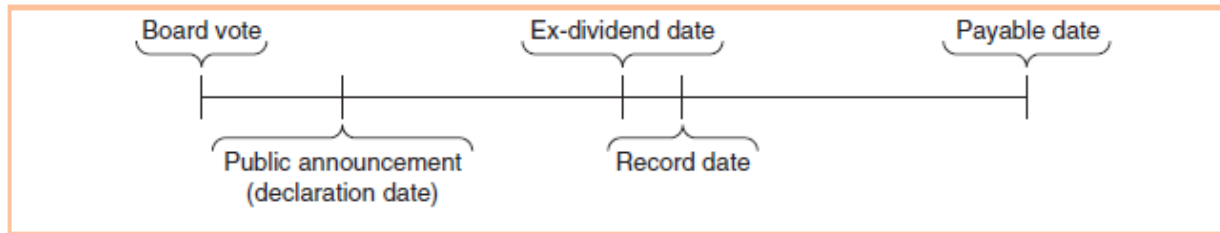


Exhibit 17.1: The Dividend Payment Process Timeline for a Public Company The dividend process begins when the board votes to pay a dividend. Shortly afterwards, the firm publicly announces its intention to pay a dividend, along with, at a minimum, the amount of the dividend and the holder of record date. The ex-dividend date, which is set by the stock exchange, normally precedes the record date by two days. The payable date is the date on which the firm actually pays the dividend.

Share splits example 3

- Assume Co. A's share price rises from R10 to R30 per share. The company decides to do a **share split of 2 for 1**, by issuing **2 additional shares** for every 1 share owned.
- If you owned 1 000 shares at R30 per share, you will now own 3 000 shares priced at R10 per share.
- **Your wealth will not have changed.**
- **Do companies that do well always undertake share splits?**
- **Yes and No**, but there is one notable exception.
- Warren Buffet's company, Berkshire Hathaway has never had a share split and the share price in has been close to \$120 665 (R844 000) per share.

Reverse Share splits

- Where firms consolidate their shares issued.
- Old Mutual in 2012.
- **Reasons for reverse splits:**
 - *Stock exchanges have minimum price per share requirements*
 - *Use it to get **rid of shareholders** (by setting a minimum amount of shares they should hold)*
 - *Ease the administrative burden of shareholders register*

Example 4

	Before split	After split
Shares outstanding	4 million	8 million
Stock price	R40	R20
Earnings per share	R2	R1
Dividend per share	R0.50	R0.25
Div Pay-out Ratio	$R0.50/2 \times 100 = 25 \%$	$R0.25/1 \times 100 = 25 \%$
Dividend yield	$R0.50/R40 \times 100 = 1.25 \%$	$R0.25/20 \times 100 = 1.25\%$
Price earnings	$R40/2 = 20 \text{ Times}$	$R20/1 = 20 \text{ Times}$
Market value	R160 million 4m X R40	R160 million 8m X R20

Dividend Reinvestment Plans (*DRP*) and Scrip Dividends

- The company offers shareholders the option of receiving the dividend in Cash or as additional Shares (***called Scrip dividends***).
- Dividend reinvestment plans became common in South Africa as it allows companies **to avoid *STC/DWT* with** regards to the Scrip dividend.
- Investors may receive shares at a discount to the current share price & also avoid transaction costs.
- **Why would companies do this?**
- DRPs enable companies to **decrease** the Payout ratio AND **Retain capital** for investment purposes.

Class Example 5A

- Below is the equity section of the Statement of Financial Position of Eagle Ltd before issuing a **SCRIP DIVIDEND**:
- The shares are currently trading at R66 per share and the firm wants to issue one (1) share as a scrip dividend for every ten (10) held.
- All the shareholders elect to take up the Scrip dividend offer.

Ordinary share capital (<i>R1 par value, 10 000 shares in issue</i>)	R10 000
Share premium	200 000
Retained earnings	<u>290 000</u>
Total shareholders' equity	R500 000

REQUIRED

Show how the Equity section of Eagle Ltd will look like after the scrip dividend has been issued.

Class Example 5A

Solution

Ordinary share capital <i>(R10 000 + 1 000)</i> <i>(1 000 X R1)</i> <i>(R1 par value, 11 000 shares in issue)</i>	11 000
Share premium <i>(R200 000 + 65 000)</i> <i>(1 000 X R65)</i>	265 000
Retained earnings <i>(R290 000 – 66 000)</i> <i>(1 000 X R66)</i>	224 000
Total Shareholders' Equity	500 000

Class Example 5B

A shareholder owns 100 shares in Liver Limited which he purchased at a price of R10 per share.

The company pays a 5% share dividend. The shareholder will receive 5 additional shares and his shareholding will increase to 105 shares.

How does the Scrip dividend affect the cost per share?

Class Example 5B

- *Scrip dividends increases the number of shares in issue*
- *Reduces the share price (Market value & Net asset value)*
- *Changes to Equity account balances in Statement of Financial Position (Decrease Retained earnings & Increase Share capital)*

	BEFORE SCRIP DIVIDENDS	AFTER SCRIP DIVIDENDS
Share capital	R10 x 100 = R1 000	R ? X 105 = R1 000

		R9.52 x 105 = R1 000
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Check a shareholder that has 50 shares

	R10 x 50 = R500	R9.52 X 52.5 = R500
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Class Example 6

Girt Ltd has identified an opportunity to operate a health form in Paarl. The funds for this operation will have to come from equity, as the company will not borrow further at this stage. Earnings and dividends for the past four years have been:

Year	20.1	20.2	20.3	20.4
EPS	1.23	1.1	1.22	1.35
DPS	0.8	0.8	0.8	0.9

Earnings for the year just ended amount to R1.50 per share. The financial manager has to recommend a dividend to the board of directors.

REQUIRED:

If you were the Financial Manager what recommendations would you make? Identify the factors that should be considered and their implications.

Class Example 6

Factors to be considered:

- The firm needs Equity capital, passing a dividend will give rise to such capital.
- Investor expectations & current dividend policy:
 - *Firm follows a stable dividend amount, increases in line with earnings;*
 - *Investors expect a future dividend of least 90 cents per share.*
- ***Advisable for dividend to be maintained at 90 cents & not to increase even with an increase in earnings.***
- ***Firm retaining high percentage of earnings to boost equity capital.***

5. Share Buy-Backs

- Companies buy their own shares as an alternative to declaring a cash dividend.
- Shareholders' equity is reduced by the **par value** of shares acquired. Any premium over par may be paid out of reserves.
- Share buybacks allows firm to align Capital Structure in terms of *TARGET DEBT TO EQUITY RATIO*

Share buy-back or Dividend declaration

Share repurchases are preferable if :

- There is uncertainty about **SUSTAINABILITY** of future cash flows
- Future **INVESTMENT NEEDS ARE UNCERTAIN**
- Share price is **UNDER VALUED (*BELOW CERTAIN LEVEL*)** by market
- Prevent share price falling
- Shareholders' prefer **CAPITAL GAINS**
- Timing of cash flows are required to be spread out over a large period of time.

Share Buy-Backs

■ Legal requirements:

- *Special resolution required*
- *Company must be Liquid and Solvent **after** the buy-back*
- *Offer made to all shareholders on a **pro-rata** basis*
- *Subsidiaries are allowed to acquire a maximum of 10% of the shares of its Holding company – these will be known as Treasury shares which will carry no voting rights.*

■ Journal entry:

- Dr Share capital & premium
- Cr Bank

Share Buy-Backs

Share repurchases differ from **dividends** in **four ways**.

- **First, they do not represent a PRO-RATA DISTRIBUTION of value to the shareholders because not all shareholders participate.** individual shareholders decide whether they want to participate in a share repurchase.
- **Second, when a company repurchases its own shares, it removes them from circulation.** This reduces the number of shares that are held by investors, thereby removing a large number of shares from circulation. **This can change the ownership of the firm.**
- **Third, share repurchases are taxed differently than dividends.** The total value of dividends is normally taxed. Conversely, when a shareholder sells shares back to the company, the shareholder is taxed only on the profit from the sale.
- **Fourth, the way in which we account for dividends and share repurchases on a company's Statement of Financial Position (Balance sheet) is also different.**
 - *When the company pays a Cash dividend, the Cash account on the assets side of the Statement of Financial Position (Balance sheet) and the Retained earnings account on shareholders' equity and the liabilities side of the Statement of Financial Position (Balance sheet) are reduced.*
 - *In contrast, when a company uses cash to repurchase shares, the Cash account on the assets side of the Statement of Financial Position (Balance sheet) is reduced, while the **treasury shares account** on the liabilities and shareholders' equity side of the Statement of Financial Position (Balance sheet) is increased. (note that: treasury shares account represents the number of shares repurchased). This has the effect of reducing shareholders' equity by the amount paid for the shares bought back.*

Share Buy-Backs

How Shares Are Repurchased

Companies repurchase shares in three general ways.

- **First, they can simply PURCHASE SHARES IN THE MARKET, much as you would. These kinds of purchases are known as OPEN-MARKET REPURCHASES,** which are a very convenient way of repurchasing shares on an ongoing basis. **Open-market repurchases can be cumbersome** because **there are limits** on the number of shares that a company can repurchase on a given day. These limits, which are intended **to restrict the ability of firms to influence their share price through trading activity**, mean that it could take months for a company to distribute a large amount of cash using open-market repurchases.

- **Secondly** when the management of a company wants to distribute a large amount of cash at one time and does not want to use a special dividend, **IT CAN REPURCHASE SHARES USING A TENDER OFFER, which is an open offer by a company to purchase shares** (*Most commonly used in South Africa*). There are two types of tender offers: **Fixed price and Dutch auction.**
 - *With a **Fixed-price tender offer**, management announces the **Price and the Maximum Number of Shares that will be repurchased.***
 - *Interested shareholders then tender their shares by letting management know how many shares they are willing to sell.*

Share Buy-Backs

How Shares Are Repurchased

- With a **Dutch auction tender offer**, the firm announces the number of shares that it would like to repurchase and asks the shareholders how many shares they **WOULD SELL AT A SERIES OF PRICES**, ranging from just above the price at which the shares are currently trading to some higher number. Shareholders then tell the company how many of their shares they would sell at the various offered prices.
- The **Third** general way in which shares are repurchased is through **Direct negotiation** with a specific shareholder, where targeted share repurchases are typically used to buy blocks of shares from large shareholders.
- These repurchases can benefit shareholders because managers may be able to negotiate a per-share price that is below the current market price because the shareholder who owns a large block of shares might have to offer the shares for a below-market price in order to sell them all in the open market.

Example 7. What is the Effect of a Share Buy-back on a Company's Statement of Financial Position?

Example: Co.'s share price is R3.00 and Co. wishes to undertake a buy-back for R90m (i.e. 30m shares). What is the effect on the Co.'s balance sheet?

Statement of Financial Position	Before buy-back	After buy-back
	Rm	Rm
Cash	120	30
Other current assets	60	60
Non-current assets	220	220
	400	310
<i>[Equity & debt in terms of the Companies Act, 1973]</i>		
Share Capital (100m shares at R0.50 - 70m at R0.50)	50	35
Share Premium	50	0
Retained earnings	200	175
Long-term borrowings	100	100
	400	310

- A share buy-back will usually result in an increase in EPS due to the reduction in the number of shares in issue.

Why do companies Buy-back shares?

Advantages

- **Signalling effects** – *shares are undervalued, cannot sustain future dividends*
- **Flexibility** – *excess cash flows are temporary, war chest?*
- **Capital structure** – *easy & cheap to manage capital structure - really?*
- **Taxation** – *shareholder manage tax position - as option to receive cash or retain shares*
- **Firm can avoid DWT if:**
 - *1973 Companies Act – Buyback written off against Share premium*
 - *2008 Companies Act – Buyback written off against Share capital*
- **Control** – *concentrate control, avoid hostile takeovers, defend a potential takeover*
- **Share incentive schemes** – *treasury shares employee incentive schemes*
- **Admin burden of share register is reduced**
- **Limited growth opportunities**
- **Gearing take on more debt to alter capital structure (*Target*)**